

Tesla, Inc.
TSLA NASDAQ

Hold	\$323.38 ▲ 0.40%	12M Price Target \$360.00	52-Week Range \$297.38 – \$498.83	Market Cap \$1.28T
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TSLA: China Sales Pop, But Cash Burn Story Emerges

WHAT HAPPENED

- TSLA barely moved (+0.40%) on light volume — that low 10M share count vs. the usual 38M tells me most traders sat this one out ahead of SpaceX earnings tonight (yes, Musk is letting SpaceX investors ask questions on the call, Tesla-style — that's the WSJ headline). The stock has quietly ripped from \$298 to \$323 in a week, so today's pause is digestion, not weakness.
- Two conflicting narratives hit at once: Tesla China wholesales jumped 38% YoY in July (huge — China was supposed to be the weak spot), but Trefis dropped a note saying Tesla's capex is now burning MORE cash than the business generates. That's the tension — top-line momentum vs. balance sheet stress.

WHY IT MATTERS

The 38% China number is the real story and it's underappreciated — six months ago the consensus was that BYD was eating Tesla's lunch in China, and this flips that narrative. But here's the catch: the Trefis cash-burn piece matters more than people think. Tesla is spending like a startup (Optimus, robotaxi, Dojo, new factories) while its cash cow — the auto business — has shrinking margins. That means if robotaxi doesn't scale on schedule, they'll either need to raise capital (dilutes you) or cut capex (kills the growth story). The options market is leaning bullish (put/call at 0.71, meaning way more call buyers betting up than put buyers betting down), and that unusual \$330 call flow tells me traders are positioning for a breakout — but be careful, the same strike has heavy put buying too, which means smart money is hedged both ways.

POLICY & POLITICAL WATCH

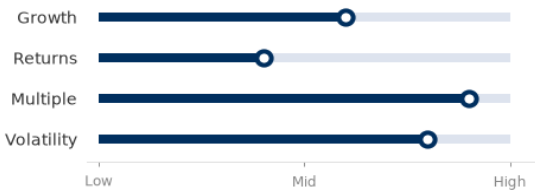
The big one: the federal \$7,500 EV tax credit was gutted under the current administration's tax bill last year, and Tesla has actually benefited because it hurts competitors more (Rivian's "help that's running out" headline today is literally about this). Watch two things: (1) the NHTSA's ongoing review of FSD/Autopilot — if the administration goes light on autonomous vehicle regs (which is the current lean given Musk's political alignment), that's a massive tailwind for robotaxi launches in more cities; (2) China tariffs — Tesla exports from Shanghai to Europe, so any escalation in the EU-China EV tariff fight hits them directly. The record gas prices angle (one of today's headlines) is also underrated — if gas stays above \$4.50, EV demand structurally improves without needing subsidies.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$323.38
12M Price Target	\$360.00
Upside / (Downside)	+11.3%
Market Cap	\$1.28T
FY2026E Revenue	\$108M
FY2027E Revenue	\$132M
FY2026E EPS	\$2.15
FY2027E EPS	\$3.10
Fwd P/E	150.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$355.00	\$325.00	\$295.00
6 Months	\$420.00	\$340.00	\$260.00
1 Year	\$500.00	\$360.00	\$230.00
2 Years	\$650.00	\$400.00	\$200.00
5 Years	\$900.00	\$500.00	\$180.00
10 Years	\$1500.00	\$700.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+3.6% today, +7.8% on the week) — money is flooding into AI-adjacent names as Q2 earnings from hyperscalers reaffirmed the AI capex cycle isn't slowing. Tesla gets pulled along because it's increasingly categorized as an AI/robotics play, not an auto stock.

COOLING OFF: Consumer Discretionary (-0.35%) — which is technically where Tesla sits in the index. This is why the auto-vs-AI narrative matters so much for the multiple.

ROTATION WATCH: Money is clearly rotating from cyclicals into tech/AI, and Tesla is straddling both buckets. The stock's 8% weekly gain vs. Cons. Disc's +4.7% tells you the market is voting it's more AI than auto right now.

RELATED PLAY: If you believe the robotaxi story, the second-order winners are chipmakers (NVDA for Dojo alternatives, or TSM for their custom silicon) and lidar/sensor companies (though Tesla famously avoids lidar, the broader AV ecosystem benefits).

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): AI capex cycle continues, and every robotaxi/humanoid company needs their chips — direct beneficiary of the same theme powering TSLA
- BYD (BYD Co.): Chinese EV leader still growing 20%+ globally, but Tesla's 38% China wholesale jump suggests Tesla is finally clawing back share

TSLA CONTEXT: Tesla is leading its EV peer group (Rivian is bleeding, Lucid barely alive, legacy autos EV divisions losing money) but LAGGING pure AI names like NVDA and PLTR. That's the tell — the market wants to reward the AI narrative but needs proof points. Robotaxi metrics on the Q3 call are the next catalyst.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$295-305 on macro pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Robotaxi rollout stalls OR auto gross margins fall below 15%

Hedging: Buy protective puts or pair with a legacy auto short like F